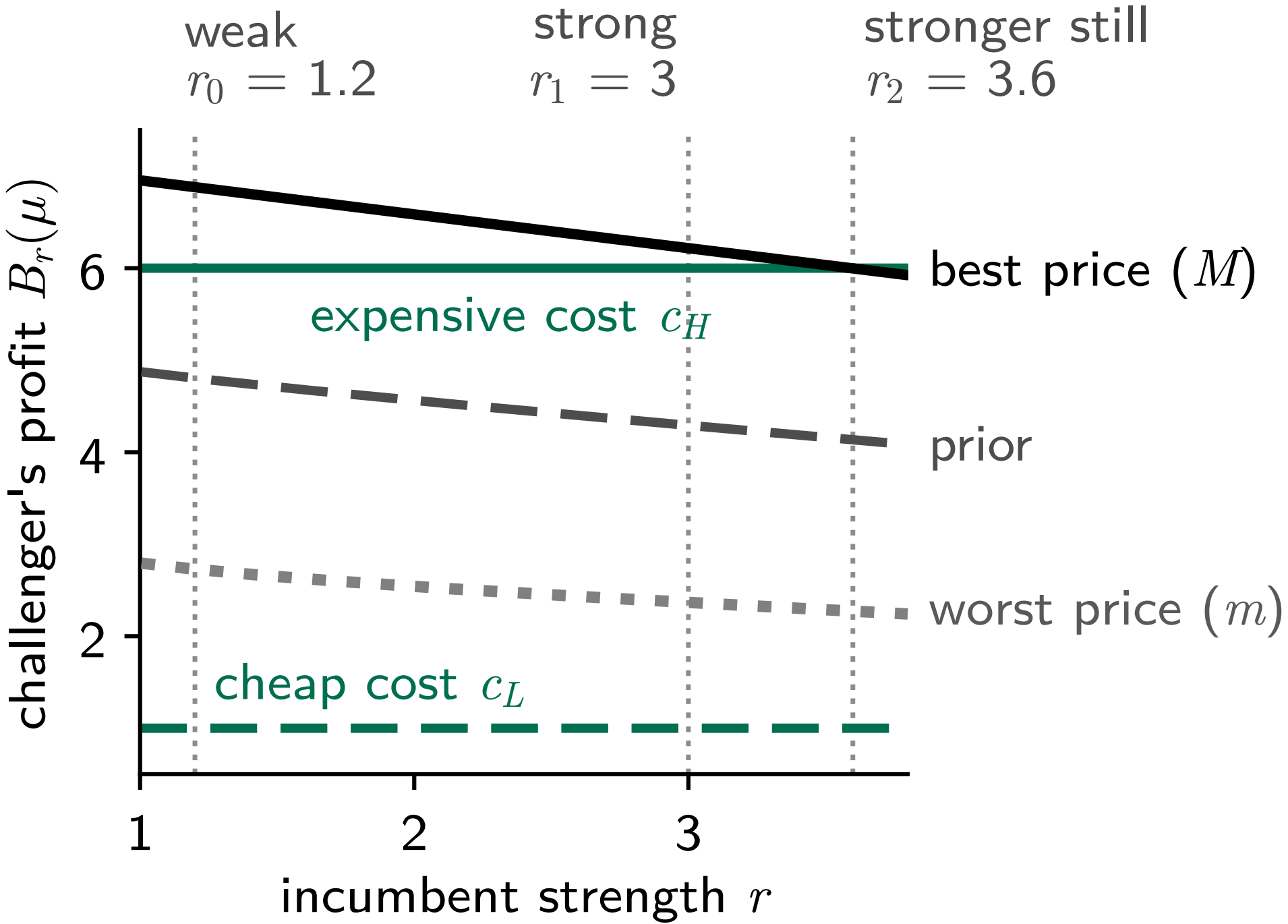
weak
$r_0 = 1.2$
strong
$r_1 = 3$
stronger still
$r_2 = 3.6$
challenger's profit $B_r(\mu)$
6
4
2
best price (M)
expensive cost c_H
prior
worst price (m)
cheap cost c_L
1
2
3
incumbent strength r